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The Sunday EXPRESS



Prime Minister Narendra Modi with Seychelles President Patrick Herminie at a ceremony to hand over Fast Patrol Vessel *Lespwar* to the Seychelles Coast Guard, in Victoria, Saturday. PTI

PM arrives in Seychelles, to mark 50 years of relations, chart future

Three-day visit: 50th independence day of island nation, address to Assembly

Divya A
New Delhi, June 27

PRIME MINISTER Narendra Modi landed in Victoria Saturday to start his three-day state

visit to Seychelles, during which he will hold talks with President Patrick Herminie and attend the golden jubilee celebrations of the archipelago nation's National Day celebra-

tions as Guest of Honour.
At Seychelles International Airport, Modi was welcomed by Herminie and the two leaders drove together to Seychelles' National Botanical Garden. The PM received a ceremonial Guard of Honour, in the presence of Seychelles Cabinet ministers and senior dignitaries.
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EXPRESS special

From Ganga to global pet markets: Police in MP map rail route of protected turtles

Anand Mohan J
Bhopal, June 27

POLICE IN Madhya Pradesh are preparing their first coordinated crackdown on wildlife trafficking through the state's railway network after an analysis of six years of seizure data uncovered organised interstate networks smuggling protected freshwater turtles from northern India's river systems to markets in Southeast Asia and the Middle East, *The Indian Express* has learnt.

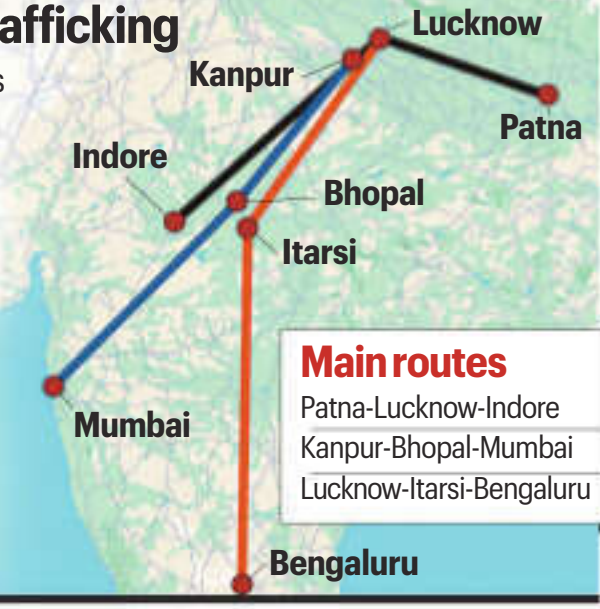
Between 2020 and 2026, the State Tiger Strike Force (STSF) and Government Railway Police recovered 654 protected animals from passenger trains crossing the state — 647 turtles and seven vultures — across what enforcement records describe as four organised interstate networks.

Senior police officials said the analysis has convinced them that the animals seized over six years represent only a fraction of the wildlife being

»CONTINUED ON PAGE 2

•Turtles, trains, trafficking

647 freshwater turtles seized (2020-26)
4 Networks identified
24 People arrested





Destination Seychelles

Indian Navy's indigenously built Survey Vessel (Large), INS Ikshak, arrives at Port Victoria, Seychelles, as part of its operational deployment to the South West Indian Ocean region. The ship will participate in Seychelles's 50th National Day celebrations. PTI

Gaganyaan uncrewed test flight may be pushed, likely to impact launch of human space flight

Express News Service
Bengaluru, June 27

THE WAIT for Gaganyaan mission's manned flight may just get a little longer. The first uncrewed test flight for the Gaganyaan mission — ahead of the proposed maiden Indian human space flight launch — could be pushed back up to the third quarter of 2027, ISRO chairman V Narayanan indicated on Saturday even as he stressed that efforts were on for a launch by the end of 2026. With this, the launch of Gaganyaan mission's manned flight could be pushed back to 2028, as against 2027-end that the ISRO had indicated earlier this year. “The Gaganyaan programme is a very important technology intensive mission and human safety is very important. We are already working on this programme for the launch of a human-rated rocket and keeping the people in a safe environment because in case there is any problem with the rocket, we have to save the crew...” the ISRO chairman said. Delivering the Air Marshal L M Katre Memorial Lecture organised by the Air Force Association in Bengaluru, the ISRO chairman, indicated on a slide in his presentation that the first un-manned flight for the Gaganyaan mission would be launched in the third quarter of 2027. Narayanan said the uncrewed mission could happen in 2026 as well. “We are supposed to do three uncrewed missions: We are working for the first uncrewed mission this year and once we get the results, we will get back to the crewed mission. The Gaganyaan continuation programme has been approved

by the government. Earlier, only the uncrewed missions and one crewed mission were approved,” the ISRO chief said. Asked about the two differing timelines — one indicated in his presentation and the other during the talk itself — for the first unmanned flight, Narayanan said, “The Gaganyaan programme is undergoing constant review and the first unmanned flight will be launched on the basis of the progress.” In February, Narayanan had indicated that the first Indian manned mission to space could be launched by end of 2027. During the talk, the ISRO chairman said Indian scientists played a key role in the safe flight of the Axiom Mission 4 launched in June 2025 on a SpaceX rocket, which took Indian astronaut Shubhanshu Shukla to the ISS in 2025. “We had a big role in the safe journey... The SpaceX rocket was set to launch (on June 11) and on June 10, we came to know there was a minor leakage problem with the rocket. We discussed the issue and they (American scientists) said it is only a minor problem and that the rocket can take off. It was Indian scientists, including myself and my team, and the director of Human Space Flight Centre D K Singh was also there at the Kennedy Space Centre, who insisted that the launch should be stopped and it was stopped,” he said. On Operation Sindoor, he said, “In terms of strategic applications during Op Sindoor, I cannot make open statements, but I can say all our satellites worked perfectly well and we did whatever small work we could contribute for Operation Sindoor... In the success of Op Sindoor, we had a key role to play.”

[FROM PAGE 1 | FULL REPORTS ON WWW.INDIANEXPRESS.COM]

Seychelles

“Seychelles is a valued maritime partner and a close friend in the Indian Ocean. Looking forward to a productive visit aimed at further strengthening our longstanding ties and enhancing cooperation for the benefit of the people of our nations,” the PM said on X upon landing. Ahead of his departure from New Delhi, Modi said Seychelles is a valued maritime neighbour and a key partner in the Vision Mahasagar (Mutual and Holistic Advancement for Security and Growth Across Regions) and India's shared commitment to the Global South. Modi further said that he looks forward to the bilateral discussions aimed at further strengthening the enduring friendship. “Together, we will work to advance the progress of our peoples, and promote secur-

ity and prosperity in the Indian Ocean region,” he said. Later in the day, the PM handed over Fast Patrol Vessel *Lespwar*, ambulances and utility vehicles to the Seychelles Coast Guard. “The transfer of the Fast Patrol Vessel *Lespwar* to the Seychelles Coast Guard marks another important milestone in the growing India-Seychelles partnership in defence and maritime security. It is also the latest in a series of capability-building initiatives that reflect India's steadfast commitment to supporting the security priorities of Seychelles,” Modi said in a post on X. On Sunday evening, PM Modi will participate in the country's 50th national day celebrations as Guest of Honour. When Seychelles attained freedom on June 29, 1976, a contingent from the Indian Naval Ship, *INS Nilgiri*, took part in the Independence Day celebrations. This year as well, an Indian

Armed Forces contingent and two Indian Navy ships are participating in the event. During the talks between two leaders Sunday, the two sides are expected to review the full spectrum of bilateral cooperation and exchange views on regional and international issues of mutual interest. Modi will also address the National Assembly of Seychelles and interact with members of the Indian diaspora. PM Modi last visited Seychelles in 2015, while President Herminie visited India earlier this year. “Prime Minister Modi's visit reflects the longstanding friendship and enduring partnership between Seychelles and India, which have enjoyed diplomatic relations since Seychelles attained Independence in 1976,” the office of the President of Seychelles said in a statement. Seychelles is a cornerstone of India's Global South strategy,

serving as a critical maritime partner in the Western Indian Ocean. The island nation also helps India combat seaborne terrorism, piracy, and illegal fishing. Situated close to Africa, Middle East, and Asia, Seychelles serves as a vital counterweight against expanding influence in the Indian Ocean. Seychelles's recent full membership in the Colombo Security Conclave further strengthens this shared commitment to a stable, secure Indo-Pacific. India is also a security provider in the Indian Ocean. Around 5 percent of the Seychelles population comprises people of Indian origin (about 6,000); while another 9,000 non-resident Indians work in Seychelles, mostly in the construction sector, as shop assistants and professionals, according to government statistics. A majority of them belong to the Gujarati and the Tamil communities.

Turtles

trafficked through Madhya Pradesh's rail network. They said repeat offenders appearing across multiple cases indicate established rackets may have been operating along the same corridors for years. Based on that analysis, Madhya Pradesh is now preparing its first coordinated crackdown on wildlife trafficking through the railway network, moving beyond isolated interceptions towards a structured enforcement response. “We are coordinating with all sister agencies like the state wildlife task force and railway officials to enhance the vigilance and checking of these trains and routes,” ADG (Railways) Raja Babu Singh told *The Indian Express*. “We are taking this very seriously and are formulating a strategy and working on curbing wildlife trafficking.” Additional Principal Chief Conservator of Forests (Wildlife) L Krishnamurthy confirmed to *The Indian Express* that turtles seized in Madhya Pradesh “are trafficked primarily as exotic pets”, while Singh described the data on wildlife trafficking through the railways as “alarming”. The seizures suggest traffickers overwhelmingly rely on passenger trains rather than railway cargo systems. All 654 animals recovered during the six-year period were found concealed in passengers' luggage. **The route** The turtles begin their journey far from Madhya Pradesh. The Indian softshell and Indian flapshell turtle — both listed under Schedule I of the Wildlife Protection Act, 1972, in the same protection category as tigers and elephants — inhabit the river systems of the Gangetic basin. STSF officers said poachers and fishermen capture them from stretches of the Ganga and its tributaries in Uttar

Pradesh before selling them to collectors, who aggregate consignments until they are large enough to move by train. Madhya Pradesh is where they next appear in official records, usually after being detected during random checks. Wildlife officials said the seizures in the state reflect a much larger interstate trade. “Freshwater turtles are the species we encounter most frequently in trafficking cases,” a senior wildlife official said. “The animals are sourced from river systems in northern and eastern India and transported through the rail network. Madhya Pradesh is largely a transit corridor in these cases, with consignments moving towards markets in western India.” Different species feed different markets. “Indian roofed turtles and star tortoises are primarily sought for the illegal pet trade,” officials familiar with the investigation said. “We have seen networks linked to cities such as Indore, Dewas and Ujjain, with further movement towards Gujarat.” Softshell and flapshell turtles follow a different route. “There is demand in parts of eastern India, particularly Odisha and West Bengal. Investigators have also found evidence of turtles moving through Bangladesh, where they are valued for traditional medicinal uses before being trafficked further.” The rarest species face the most organised extraction. “Species such as the Batagur turtle, which is critically endangered and survives in very limited stretches, including the Chambal river system, are particularly vulnerable as they are trafficked to exotic pet markets in Southeast Asia,” a senior forest officer said. The seizures also show the scale of operations growing sharply. In March 2020, just one man was arrested at Sagar station carrying seven turtles in a fertiliser bag. In September 2023, four people were arrested at

Itarsi with 282 turtles aboard the Lucknow-Yashwantpur Express. In February 2026, eight people were found carrying 311 turtles on the Patna-Indore Express at Sant Hirdaram Nagar station on the outskirts of Bhopal — the largest wildlife seizure ever recorded on the state's railway network. “The alarming part is these animals were detected after a foul smell emanated from them,” a senior wildlife official said. “We have intelligence that these animals are largely trafficked now in small batches through the rail network and are largely undetected.” **The challenges** The 2020 Sagar case illustrates another challenge. Charges were filed in May 2020, but the matter remains pending before a magistrate's court, with six of the eleven witnesses yet to be examined. The next hearing is scheduled for August 11, 2026. Madhya Pradesh's central location makes it a key transit corridor. Enforcement records identify three principal trafficking routes through the state: Patna-Lucknow-Indore, Kanpur-Bhopal-Mumbai and Lucknow-Itarsi-Bengaluru. Any consignment moving from Uttar Pradesh towards Mumbai, Indore or Bengaluru must cross Madhya Pradesh. Eight stations are identified as particularly vulnerable: Sant Hirdaram Nagar, Bhopal, Itarsi, Jabalpur, Khandwa, Katni, Indore and Ujjain. Officials said traffickers deliberately prefer passenger trains. “The rail network allows traffickers to move live animals over long distances while blending in with regular passengers,” a wildlife enforcement official said. “Many seizures have involved animals concealed in personal luggage or sacks inside passenger coaches, including air-conditioned coaches.” Of the 24 people arrested in the cases analysed, 15 are categorised as sellers, seven as passengers and two as coach attendants.

EXPRESSspecial

Half of trees planted recently at Central Ridge ‘not suitable’ for landscape

Sophiya Mathew
New Delhi, June 27

WITH JUNE about to end, *Butea monosperma* — commonly known as dhak or ‘flame of the forest’ — has entered its fruiting season. The tree’s fiery orange-red blossom gives way to broad, papery seed-pods that will soon disperse with monsoon. It is a characteristic species of Delhi’s dry deciduous forests and among the first trees to naturally regenerate degraded landscapes. Yet it represents only part of the recent plantation choices on the Capital’s ecologically sensitive Ridge.

An analysis by *The Indian Express* of plantation records from the Delhi Forest and Wildlife Department, covering drives over the last four years in Central Ridge, shows that out of at least 22 species planted, only seven are characteristic Ridge species. Nine, or nearly half of them, are considered unsuitable for the Ridge ecosystem, including three exotics. Six are native species not naturally found in the Ridge but considered only marginally adaptable under sustained irrigation and nutrient input.

The Central Ridge stretches across 864 hectares, covering Dhaula Kuan, Sardar Patel Marg to Mandir Marg, institutional zones, and stretches of Inderpuri and Naraina industrial edges.

The Indian Express could not get a response from the Forest Department in this regard.

Why tree-species selection is important

A decadal Working Plan

• EXOTIC SPECIES PLANTED AT CENTRAL RIDGE



Jungle Jalebi



Sausage tree



Jacaranda

PRADIP KRISHEN

SPECIES	Jungle Jalebi (Pithecellobium dulce)	Sausage tree (Kigelia africana)	Jacaranda (Jacaranda mimosifolia)	Bakain (Melia azedarach)	Kachnar (Bauhinia variegata)
HABITAT	Native to dry regions of tropical America, Mexico, Colombia and Venezuela; it was first brought by Spanish to Asia	Native to African habitat, Mozambique, Zimbabwe and large parts of tropical Africa	First introduced in India from Brazil in 1841. Native to South or South-Central America	Natural range is debated with wild specimens reported from Baluchistan. Regarded by few as West Asian origin	Southern portions of hilly tracts, valleys and rocky slopes. Adapts to range of soils and doesn’t tolerate waterlogging
WHY NOT SUITABLE?	Prone to overtaking local ecosystems after being naturalized	Needs deep well-drained soil with plenty of water especially when young. High humid areas.	Ornamental tree even when deciduous. Invasive species, as it can compete	Deep sandy loamy soil is needed. Can be invasive. with the natives.	Made naturalized in Delhi. Widely cultivated as ornamental. Scattered growth.

(2026-27 to 2036-27) recently rolled out by the Forest Research Institute (FRI) for the Delhi government noted that invasive species account for 44.13% of relative dominance in parts of the Central Ridge. In some zones, regeneration patterns are more severe: invasive species such as *Leucaena leucocephala* show a regeneration stocking percentage of 100%, with internal observations of a potential long-term shift in for-

est composition if unchecked. “While the current canopy remains predominantly native, future forest composition may be entirely overtaken by invasive species if unchecked,” the plan noted, warning of risks to biodiversity and ecosystem stability. It recommended targeted removal of invasive seedlings and active promotion of native regeneration.

Ecological mismatch

Species lists from Central Ridge plantation drives between 2021 and 2025 include a limited set of Ridge-appropriate natives such as dhak (*Butea monosperma*), khair (*Acacia senegal*), *Holoptelea integrifolia*, and *Cassia fistula*.

These species are naturally adapted to dry deciduous conditions and form part of the historical Aravalli-Ridge assemblage. However, a significant share of planted species fall out-

side this ecological range.

Exotic species include Sausage tree (*Kigelia africana*), Jacaranda (*Jacaranda mimosifolia*), and Jungle Jalebi (*Pithecellobium dulce*). Others such as Kadamba (*Neolamarckia cadamba*), Kachnar (*Bauhinia variegata*), and Bakain (*Melia azedarach*) are not characteristic of Ridge ecosystems and typically require higher moisture availability. A third category includes native Indian species that are not naturally part of the Ridge ecosystem, such as banyan (*Ficus benghalensis*), Peepal (*Ficus religiosa*), Semal (*Bombax ceiba*), and Bael (*Aegle marmelos*). While ecologically versatile, these species belong to different forest types.

Environmentalist and author Pradip Krishen cautions against treating “native” as a uniform category. “Contractors tend to pick species that are convenient, easily available in bulk rather than species that are actually appropriate for a specific landscape like the Ridge,” Krishen told *The Indian Express*. “Native is a highly misleading term. What grows in one part of Delhi at the Yamuna khardar or other moist alluvial systems cannot be assumed to be suitable for the Ridge, which is a dry, rocky ecosystem with very different soil and moisture conditions,” he said.

In *Trees of Delhi*, his book, Krishen has said that species such as Kanju (*Holoptelea integrifolia*) is noted as drought-tolerant pioneers of disturbed, well-drained habitats, while others like amaltas (*Cassia fistula*) and dhak can adapt to dry deciduous forest conditions.

Both Jacaranda and Jungle Jalebi — exotic species — can compete with the native dry deciduous forest species. Some of these are ornamental in nature and hence, ecologically weak for restoration. Bakain is a naturalised exotic. Even when it is fast-growing but short-lived, it tends to displace slower native regenerating species. Other plantation species included Gamhar (*Gmelina arborea*) which is a moist forest species and performs poorly in dry, rocky ridge terrain and is left often stunted in Delhi conditions.

Similarly, Chamrod (*Ehretia laevis*) recognized by its white, star-shaped flowers and pale, knobbly trunk although is very common in East Aravallis and drought-hardy, but its strong root-suckering habit can create unmanaged spread in restoration plots and needs careful placement.

Found commonly in Delhi avenues with voluptuous blooms of scarlet flowers, Semal is a dry deciduous and moist forest species that is reasonably drought-hardy. It thrives best where soil can retain moisture, near rivulets.

Meanwhile, the Forest and Wildlife Department in an official statement on June 22, maintained that a large scale plantation programme — part of larger Aravali restoration plan — in the Southern Ridge is underway wherein ecological restoration principles are being followed, with “scientifically designed interventions, careful species selection, regular monitoring and long-term maintenance practices,” and a focus on “native and ridge-specific species.”

Weeks after shanties razed, Surat civic body shifts affected residents to temporary shelter

Kamal Saiyed
Surat, June 27

NEARLY A month after over 100 families of Nasirnagar in Ved Darwaja area of Surat were rendered homeless after a controversial demolition on “private land” they had allegedly encroached for nearly four decades, the Surat Municipal Corporation (SMC) on Saturday shifted around 150 persons to a community hall nearby.

Earlier, 26 of the residents moved the Gujarat High Court (HC) seeking justice and rehabilitation, claiming that they were not issued any notices before the demolitions. The HC heard the matter on Thursday and sought an explanation from the municipal and police authorities while also directing representatives of Torrent Power Ltd to remain present in the court on Monday, when the matter will be heard next.

The demolitions were carried out on May 30, 31 and June 1, clearing 106 structures.

Municipal Commissioner M Nagarajan told *The Indian Express* on June 8 that his officers



Around 150 people have been shifted to a community hall — around 1.5 km away from their previous residence. EXPRESS

had gone there only to demarcate a road. “The land is owned by a private party who has contributed a portion under the town planning scheme for a road. Our team went to the spot for land marking (demarcation) the road area. As per the rules, a notice is to be issued to the inhabitants of slums and the slums are later demolished after hearing from them.”

The residents, however, have claimed they were not issued any notice. On June 11, Additional City Engineer and Central Zone deputy commissioner Ashish Naik claimed in a video that his team had carried out the

demolitions, “to clear a road”. Around June 20, he changed his stance and said the demolition was done by municipal officials.

Nagarajan declined to comment further on the matter, saying it was before the HC.

“We set up a probe team headed by a Deputy Commissioner rank official of the SMC. They have given us a primary report in which statements from some of the officials are still pending... If any of our officials are found guilty... we will take necessary action against them as per the rules...” Nagarajan said.

The 150 people shifted to the municipal corporation-owned

Bharimata community hall, around 1.5 km away from Nasirnagar, include the 26 petitioners, sources told *The Indian Express*.

Salma Khatun Shaikh, 70, who lost her home in the demolition, said, “I have been staying in Nasirnagar for the past 50 years. I had a house with a ground floor plus two upper floors. The land is owned by a private person, so how did the SMC and police carry out demolitions? My children, who were at home, were taken out of the house and it was razed.”

She added, “Since the past 29 days, we have been living on the debris in the open sky with my small grandchildren...”

The bare community hall had no other facilities except toilets, which Shaikh complained were “dirty”. However, by Saturday evening, Surat Municipal officials had made arrangements for bedsheets, mattresses and water, apart from cleaning of the toilet blocks.

The SMC’s additional city engineer and Zonal Chief (Rander Zone) MD Chavda said, “We will provide all required facilities for the affected people.”

‘Farming since childhood... not a secret’: Minister who took subsidy under own ministry’s scheme

Express News Service
Jaipur, June 27

FOLLOWING *THE Indian Express* investigation into Union Minister of State for Agriculture and Farmers’ Welfare Bhagirath Choudhary lifting a subsidy of nearly Rs 1 crore from a scheme under his own ministry, the minister on Saturday said that he followed all the rules and guidelines, publicly disclosed subsidy details and was using the farm to train other farmers.

The Indian Express investigation had revealed that Choudhary received the Rs 99.60 lakh subsidy three months ago through a scheme under his own ministry and approved by a board in which he is ex officio Vice-President.

The scheme to promote

“commercial farming” — on a large scale for profit — of select vegetables and flowers comes under Mission for Integrated Development of Horticulture (MIDH), which was launched in 2014-15 and is administered by the National Horticulture Board (NHB), an autonomous organisation under the administrative control of Choudhary’s Ministry.

“I’m a farmer, and I’ve been farming since childhood. And the Prime Minister and everyone want farming to be made profitable and advanced,” Choudhary told ANI.

The minister said that there was nothing secretive about his subsidy and added, “The collector came there, the DM of Deedwana-Kuchaman also came, everyone came. They praised it after seeing it. We are taking the

farmers there and training them so that they, too, can farm like this. What did I hide?”

Choudhary’s project for cucumber cultivation across 16,592 sq m is one of 467 approved by NHB in 2025 under the scheme titled “Development of Commercial Horticulture through Production and Post-Harvest Management of Horticulture Crops”. Official data showed that of the 467 projects, with a total cost of Rs 144 crore and covering an area of 677 acres, that were approved during the financial year 2025-26 under this scheme, there were 60 that received over Rs 50 lakh each as subsidy.

The Indian Express visited the project site at Choudhary’s farm in Peeh village of Rajasthan’s Deedwana-Kuchaman district. Apart from the subsidy

amount, the signboard put up at the site — part of a mandatory requirement under the scheme — shows the total cost of the project as “1,99,20,000” (Rs 1.99 crore). Choudhary did not respond to a questionnaire sent by *The Indian Express*; his aide said details of the project would be disclosed to the government.

On March 11, 2026, records show, the project received final clearance from NHB. And, on March 30, a “capital investment subsidy” of Rs 99.03 lakh was credited to Choudhary’s HDFC Bank loan account at Kishanagarh in Rajasthan. The records reviewed by this newspaper on the transfer of subsidy do not mention the remaining Rs 57,000 from the amount of “99,60,000” shown on the signboard.

• BRIEFLY



Union Home Minister Amit Shah during the launch of Bharat Taxi service in Gandhinagar on Saturday. EXPRESS

GUJARAT

Bharat Taxi will not exploit any *saarathi*, says Amit Shah at launch

UNION HOME Amit Shah launched the Bharat Taxi service in 14 of Gujarat cities on Saturday. “Bharat Taxi will never exploit any *saarathi*. That is my guarantee,” Shah said at the event at Mahatma Mandir, Gandhinagar. India’s first driver-owned ride-hailing service, launched with the backing of eight major co-operative institutions including Amul brand’s parent company — Gujarat Co-operative Milk Marketing Federation — signed MoUs with several organisations. The event, attended by over 7,000 *saarthis*, outlined expansion plans to over 125 cities by March 2027. ENS

5 trends will determine future India



ACROSS THE AISLE
BY P CHIDAMBARAM

I HAVE OBSERVED social and political trends in India for many years. What appears to be a deep-running current may not be so, and may be only a passing cloud. A passing cloud can bring a welcome shower, but that is not an enduring feature of the climate.

1947 was a watershed year. Since Independence, many visible influences and trends were noticed but were short-lived; and many incipient trends that were unnoticed by most people have become enduring. For example, despite Gandhiji's near-divine status and hundreds of dedicated Gandhians, the Gandhian way of life, *ahimsa*, *satyagraha*, the *charkha*, non-violence and civil disobedience did not survive for more than a couple of decades after Gandhiji. On the other hand, few anticipated the rapid urbanisation of India, fewer noticed climate change, and still fewer understood the complex relationship between humans and science and technology.

The saying is, 'Prediction is very difficult, especially if it's about the future' (Nobel laureate Niels Bohr and legendary baseball player Yogi Berra). Nevertheless, I shall dare to venture into forbidden territory. I have observed five trends that may gain strength and mo-

mentum. Much as I dislike and dread some of them, these trends seem unstoppable:

'Decline of Democracy as government of the people....'

Democracy is government *of* the people. People are born free and have the right to many freedoms. A democratic government is a government that respects and upholds the rights of the people, and has established independent institutions that will protect and enforce the rights. *Freedom House*, *V-Dem Institute* and *Reporters Without Borders* (all Research Institutes) classify countries as 'free' or not on the basis of scores under various indicators. More and more countries have a declining score. India's score was 77 in 2005 and has declined to 63-67. India is likely to be a mere 'electoral democracy' and elections will be less free and fair. The Indian people seem to be unperturbed by the declining score in return for welfare measures, better infrastructure and no challenge to an oppressive social structure. China's score has been stuck at 9/100 for many years, but by all reports, the Chinese people are happy. India may take that path.

Monopolies vs Entrepreneurs

Several sectors of the economy are dominated by duopolies or oligopolies — air travel, telecommunications, cement, steel, power, pharmaceuticals, petroleum, defence production, mining, and retail. More sectors may go that way. Small businesses and MSMEs will become near-extinct. NGOs will be stifled. The distribution of economic power will be increasingly skewed in favour of the monopolists. The balance between capital and labour will continue to shift in fa-

The distribution of economic power will be increasingly skewed in favour of the monopolists. The balance between capital and labour will continue to shift in favour of capital

vour of capital. The distribution of income will be skewed in favour of the rich and super-rich. Income inequalities will increase, and we will be less egalitarian.

Farewell to Identities

Most large cities have become cosmopolitan and a medley of languages, religions, cultures and cuisines. Many towns are following suit. Urbanisation and mass transit systems will take the trend deeper into India. No one will 'belong' to a place; 'native place' will, like the joint family, become extinct. Most people one encounters will be strangers. The circle of friends will become smaller, and relationships will be forged through devices. Conversations will be mediated by machines. No (hu)man is an island may be disproved. Transactions, not emotions, will determine relationships between humans. Sexual relations may survive because sex has benefits beyond procreation.

Cultural Nationalism vs Fearful Minorities

The line separating science and pseudoscience will vanish. As Mr Vasudevan Mukundh wrote (*The Hindu*, dated June 23, 2026), educational authorities will institutionalise Puranic science as science, mythology as history, ritual as technology, and an open contempt for verifiability. More IITs may be goaded to do 'research' into mythological stories, reincarnation and Vedic biology. Cultural revival will revolve around the reconstruction of temples and the celebration of Hindu festivals. Meat shops may be banned in several towns. Following West Bengal, other states may remove eggs from the mid-day meal scheme. Uniform civil

codes will be passed in more States. Resistance to the Hindutva agenda will be broken down. More and more children and adults will be able to speak and write in only a single language, Hindi, closing more windows to growing STEM studies and the technology-driven world (until Hindi catches up with English and other languages). Minorities — religious, linguistic, ethnic — will live in fear, wondering whether a historically plural country will have a place for their children.

Super rich vs Mass of Poor

The trends noted above will have enormous consequences for the 144 crore people, who will plateau at 167 crore and begin to decline. India will grow — whether at 5 per cent or more — irrespective of the government, because Indians will grow food, produce goods, and consume or export. The numbers of the rich and the super rich will increase, but many millions will be massed at the bottom of the pyramid. Those millions will experience low demand, low consumption, low standards of life and low growth. Moreover, if millions of people are excluded from participation in the story of India, on one pretext or the other, their lives will be worse. India will be less equal and more divided and angry.

You may dispute the five trends or add to or subtract from them, but you cannot deny that the *direction* of the country, and the *trends* witnessed, will determine India's place in the world.

(Across the Aisle completes 12 years in June 2026. The author wishes to take a long break to pursue other interests. This column will now be an occasional feature in The Indian Express)

When Court No. 24 became the legal preface to Emergency



HISTORY HEADLINE
BY SHUBHAM KUMAR

BEFORE THE Emergency became a midnight story, it had a courtroom preface. On the night of 25-26 June 1975, Opposition leaders were arrested, the presses were censored, and freedoms began to shrink. But the political chain of events that led to that night had been triggered two weeks earlier through a judge's verdict in Allahabad. The Emergency is remembered through Delhi's darkness. Its legal pre-history unfolded in daylight.

That daylight can be traced to two rooms of the Allahabad High Court. Justice Jagmohanlal Sinha sat in Court No. 5. When Indira Gandhi came to give evidence in the election petition filed by Raj Narain, challenging the then-PM's Rae Bareilly victory, the proceedings were held in Court No. 24. It stood at one end of the building — easier to secure without disrupting other courts.

The story began in the 1971 general elections. After the Congress split of 1969 and the early dissolution of the Lok Sabha in December 1970, the Opposition tried "Indira Hatao" and she answered with "Garibi Hatao". In Rae Bareilly, Indira Gandhi polled 1,83,309 votes, Raj Narain received 71,499.

For most candidates, that margin would have closed the matter. Raj Narain carried it to court. In April 1971, he filed an election petition under the Representation of the People Act, 1951, alleging misuse of official machinery, campaign expenditure, and the role of Yashpal Kapoor, who had worked in the PM's Secretariat before joining Indira Gandhi's campaign. Over time, the case narrowed around Kapoor and a set of dates. Kapoor had resigned from government service in January 1971. The court had to decide when that resignation took effect, whether



Court No. 24 of the Allahabad High Court is now Court No. 34 SHYAMLAL YADAV

he had begun election work before leaving service, and when Indira Gandhi had begun her Rae Bareilly run. Election law treats assistance from government servants, deployed to advance a candidate's prospects, as a corrupt practice. Officials, police, and public facilities belong to the Republic, not to a ruling party's campaign. In Rae Bareilly, this ordinary rule had become historic because the candidate under scrutiny was also the PM.

For three years, the case moved slowly until Justice Sinha took charge after the 1974 summer vacation and pushed it forward. In March 1975, Indira Gandhi's appearance as a witness enlivened the case. The arrangements outside Court No. 24 were an Emergency-like rehearsal before the Emergency. Police guarded the gates. Entry was restricted to lawyers, reporters, and pass-holders. A metal detector stood in the passage. There, a briefcase incident, involving an allegedly unlicensed country-made pistol, caused a stir in Parliament.

By the time Justice Sinha entered, the courtroom was packed. Raj Narain was present after he assured his counsel Shanti Bhushan that he would remain silent. Bhushan didn't want Raj Narain because he was known to be temperamental and outspoken. Rajiv and Sonia Gandhi were also there. Justice Sinha announced that court convention did not require anyone to rise when a witness

entered. Outside the courtroom, Indira Gandhi was the PM. Inside, she was a witness. When she entered, some still rose, as the habits of power and the discipline of law stood face to face.

The court accommodated the dignity of office. She was not made to stand in the witness box. After consultation with Shanti Bhushan, Justice Sinha allowed her to sit on a chair placed on a raised platform to the right of the judge. Her counsel, S C Khare, examined her first. Then Shanti Bhushan cross-examined her.

On 12 June 1975, Justice Sinha set aside Indira Gandhi's election and found her guilty of corrupt practices on limited grounds, connected with Yashpal Kapoor and official arrangements. The court granted a short stay for appeal. But the political crisis had begun. Congress rallied behind her. The Opposition treated the verdict as a crisis of legitimacy.

On 24 June, Justice V R Krishna Iyer of the Supreme Court allowed her to continue as PM but restricted her rights as an MP. The next day, Jayaprakash Narayan and other leaders demanded her resignation at a Delhi rally. That evening, Indira Gandhi advised the President to proclaim a state of emergency. On the night of 25 June 1975, just before midnight, President Fakhruddin Ali Ahmed signed the proclamation.

The Rae Bareilly case still did not disappear. Parliament changed the election law retrospectively. The 39th Amendment attempted to place the election of the PM beyond judicial challenge. In November 1975, a Constitution Bench upheld several election-law changes but struck down the attempt to immunise the PM's election from judicial review, applying the basic structure doctrine articulated in Kesavananda Bharati.

Fifty-one years later, Indira Gandhi v. Raj Narain remains the courtroom preface to the Emergency. Court No. 24 reminds us that constitutional crises do not always begin with a proclamation. Sometimes they begin when ordinary legal rules finally attain extraordinary political power.

The author is a lawyer with a specialisation in public law

TOLL CROSSES 1,400; CHAOS AND TRAFFIC HAMPER RESCUE EFFORTS AS PEOPLE SLEEP ON STREETS

‘Every person saved is a miracle’: Crucial window for rescue narrows in Venezuela

Regina Garcia Cano, Juan Pablo Arraez & Megan Janetsky
La Guaira, Venezuela, June 27

THE SITUATION has grown more desperate by the hour in Venezuela as people dig through the rubble of collapsed homes and apartment buildings three days after the devastating one-two punch of 7.2 and 7.5-magnitude earthquakes, knowing time is running out to find survivors.

News Agency Reuters quoted Venezuela's top lawmaker Jorge Rodríguez announcing on state television that the toll has risen to 1,430, another 3,200 people were injured and 3,100 left homeless.

Authorities announced Friday night they would block access to La Guaira, the epicenter of the destruction, as chaos and traffic began to hamper search efforts. Officials said anyone who wants to enter would now have to seek official permits.

Venezuelans took the search for missing loved ones into their own hands, citing a scarcity of government rescuers. People reported seeing few state rescue teams in the hardest-hit areas, despite authorities projecting an image of a robust government response. Aid agencies consider the first 48 to 72 hours to be a crucial to retrieve people alive, though it can be extended if water has access to food and water.

“Each person saved is a miracle,” said Jorge Rodríguez, president of the National Assembly. “We are not going to hide absolutely anything about the magnitude of this tragedy.”

In La Guaira, just north of the capital, Caracas, Nazareth Jimenez sobbed into a loved one's shoulder as she watched neighbours use hammers and power tools to try to cut through slabs of concrete in a building reduced to debris. She was wracked with anxiety as she waited to see if her siblings, nephews, nieces and friends would emerge alive. “My God, how are we going to get them out of there?” Jimenez murmured. “We're making a call for help to government and countries across the world,” she said, pleading for machinery capable of moving collapsed structures. “There are still people alive in there.”

Government forces distributed food and water to sur-



Rescue workers search through rubble in La Guaira, Venezuela. AP

“My God, how are we going to get them out of there?” — NAZARETH JIMENEZ IN LA GUAIRA

WATCHED NEIGHBOURS TRY TO CUT THROUGH CONCRETE WITH HAMMERS & POWER TOLLS; HER SIBLINGS, NEPHEWS, NIECES & FRIENDS ARE MISSING

vivors in La Guaira, and acting President Delcy Rodríguez said her government was mounting a full response during these “critical hours for rescuing people alive.” She said La Guaira had been militarized and more help was on the way, even as residents said it was just a fraction of what they needed.

The disaster poses a huge challenge for Rodríguez as Venezuela has been facing economic disarray for more than a decade, and many people reject the legitimacy of the political movement Rodríguez represents.

Indeed, many continued to sleep on the street. Omar Reyes said around 20 family members died. “I've been left alone in this life,” Reyes said, walking through the rubble where two of his children were buried. In the city of Maiquetia, people lined up outside stores and pharmacies that served them one by one behind closed doors. At one point a woman in a crowd threw herself to the ground to protect

a package of diapers with her body, desperate to keep it.

Traffic and throngs of motorcyclists at times disrupted search efforts. Mexican soldiers and volunteers asked for silence to try to hear signs of life under the rubble, but bikers — civilian and uniformed — continued to honk horns and rev engines to the first responders' frustration. Some people began to carry off basic goods such as toilet paper and food from stores in Catia La Mar, adjacent to country's main airport. Others swarmed a truck that was giving out bread and water, until a soldier intervened.

A few miles away, Yuleidy Cadenas, 28, stood across the street from a collapsed public housing building, hoping her son, mother and brother would be pulled out alive. She fled barefoot from another building as it collapsed Wednesday and found her mother's apartment tower had pancaked. “I got on top of the rubble and told them to yell back, and nobody did...” AP

Families hope online posts will bring news of missing

Associated Press
Mexico City, June 27

A FATHER holds the hand of his daughter dressed as a fairy. A 24-year-old man in a pilot uniform stares proudly at the camera. A family embraces on a soccer field.

They are among the images posted by relatives within Venezuela and abroad desperately searching for their missing loved ones.

With communication patchy, social media and online registries have become a crucial tool for many Venezuelans seeking information and resources beyond sparse government statistics. One independent online registry documented 51,000 people missing, while another listed 24,000 people unaccounted for. While some rushed to search beneath the rubble, others created digital flyers on WhatsApp, Facebook and X with their relatives' details.

Vanesa Marciano, 31, posted photos from Madrid of her uncle and aunt, who live in La

Guaira state. Marciano posted the images hoping they were only unreachable due to damaged communication lines. Her uncle's daughter and his 7-year-old grandson were visiting from the US and also are missing.

“It's a feeling of impotence and uncertainty,” Marciano said by phone. Jhoysier Concalves, a Venezuelan from the northern coastal city of Catia La Mar, was talking to his partner and her daughter minutes before the shaking. When the earthquake stopped, Concalves ran out of his house to their apartment building. There was only debris. Concalves posted a flyer reading “MISSING” on X and Facebook. “They are pulling people out of the building alive. So I still have hope that they are in there alive,” he said.

The search was stifled by restrictions on social media and messaging platforms, put in place by Nicolás Maduro in August 2024. Soon after the UN human rights mission in Venezuela called on the government to lift local restrictions Thursday, Venezuelans could access X.

WILL MEET VIOLENCE WITH VIOLENCE: VANCE

Truce strained: Ship hit in Hormuz as US, Iran trade strikes

Bahrain, hosting US Navy's regional HQs, struck by Iranian drone

Jana Choukeir & Eman Abouhassira
Dubai, June 27

A TANKER reported being struck by a projectile in the Strait of Hormuz Saturday, Britain's maritime security agency said, after the US and Iran each launched strikes in the worst escalation since they signed their interim peace deal.

Washington said it hit Iranian targets overnight, while Iran said it had struck targets linked to US forces Saturday in response. Saturday's attack on a tanker in the strait followed an attack on a cargo ship Thursday that triggered the escalation. Iran has made a fresh bid to assert control over Strait.

US Vice President JD Vance said Iran was to blame for any return to conflict that might result from its actions. “Iran signed a ceasefire agreement. We have honored it. If they have disagreements about how the MOU is being applied, they can pick up the phone. But violence will be met with violence,” he said on X.

Britain's UKMT0 reported crew on the tanker were safe.

Iranian state television reported that the Revolutionary Guards had fired “warning shots” towards unspecified ships attempting to pass through channels not approved by Iran, and that this was now prompting other ships to seek Iranian permits before attempting to cross the strait.

Earlier, Iran's foreign ministry said it had launched “defensive” attacks on US-linked military targets, while Bahrain, which hosts the US Navy's regional headquarters, reported an Iranian drone attack. Bahrain said Iran's latest attacks violated the MoU. REUTERS



A security wall in northern Israel on Lebanon border. Deal calls for Israel to initially withdraw from two small areas or pilot zones. AP

Humiliation, won't give up arms: Hezbollah rejects Israel-Lebanon agreement

Bassem Mroue & Shlomo Mor
Beirut, June 27

HEZBOLLAH'S LEADER on Saturday criticised a framework agreement that Israel and Lebanon signed a day earlier in Washington to end months of conflict between the militant group and Israel. The deal was signed without Hezbollah. The agreement links Israel's withdrawal from Lebanon to the Iran-backed militant group's disarmament, something Hezbollah disarms.

In a statement Saturday, Hezbollah leader Naim Kassem said his group will keep fighting until Israel is forced to leave Lebanon. The group's supporters protested in Beirut after the agreement's announcement.

From Hezbollah's point of view, the deal is nonexistent, Kassem said Saturday, calling the agreement a “humiliation,” adding that linking Israel's withdrawal to Hezbollah's disarmament as a “very dangerous suggestion.”

The deal prompted one of Hezbollah's officials, Hassan Fadlallah, to warn it could result in civil war because Hezbollah won't give up its weapons and will resist any measures by Lebanese army.

Details of the deal that the US State Department released Saturday state that Lebanon and Israel aim to eventually end the state of war that began when Israel was created in 1948. The deal says Israel will withdraw from Lebanon provided Hezbollah disarms.

It calls for Israel to initially withdraw from two small areas — called pilot zones, but didn't say where those two initial zones will be. The Lebanese army will gradually assume full security over those areas. The two countries will agree to future pilot zones for Israel's withdrawal, the agreement says.

The deal has a security annex that includes the details of deployment of the Lebanese army and redeployments of Israeli troops. The security annex was not made public.

As part of the deal, Israel stresses that the disarmament of Hezbollah and additional security measures to be agreed upon between the two countries will eliminate any future need for Israeli army's military action or presence in Lebanon. Judge Ahmed Rami al-Hajj, Lebanon's top public prosecutor, Saturday told heads of country's security agencies to take measures to prevent riots. AP

What made it worse: Older buildings, ‘soft stories’, soil

Garance Burke, Michael Biesecker & Byron Tau

OLDER BUILDINGS, standard construction and geography left many neighborhoods in Venezuela vulnerable to strong earthquakes like the ones that struck the country this week.

Videos and satellite imagery from the disaster zone reviewed by The Associated Press reveal scores of multistory buildings had collapsed.

Microsoft's AI for Good Lab analyzed satellite imagery of Catia La Mar in La Guaira state, one of the hardest hit cities along the Caribbean coast. Using AI-based damage assessment models, Microsoft determined that about a third of the city's nearly 30,000 structures were damaged.

Among the factors that left so many structures at risk: Some housing complexes in northern Venezuela were constructed

quickly during recent oil booms, and builders may not have adhered to best practices that mitigate the risks of serious seismic activity, according to experts.

Engineers said that older housing erected in the 1950s and 1960s — before modern earthquake standards were adopted — may not have been retrofitted to survive such violent shaking. And many buildings were constructed on geography and soft soils that compound the danger of the earthquakes, the experts said.

TALL BUILDINGS, OLDER CONCRETE: David Cocke, a structural engineer in California and former president of the Earthquake Engineering Research Institute, said that a combination of soft soils, tall towers and older concrete structures contributed to the widespread damage, particularly when buildings pancaked, or collapsed floor-by-floor. “They just

don't have the more modern reinforcing steel connections that we put in those kinds of buildings today,” said Cocke.

Since the 1970s, engineers have known that concrete buildings are particularly susceptible to earthquakes and seek to reinforce new construction with steel. While many rich nations have forced property owners to retrofit or tear down dangerous buildings, many poorer or middle-income countries have lagged in enforcing upgrades as they battled more immediate woes.

“Some of the more advanced countries like Japan and New Zealand and the US have made those changes, but some of the other countries have not,” Cocke said. “It's a very typical kind of construction all over the world.”

‘SOFT STORIES’ & SOFT SOIL: Other experts noted that a number of buildings that collapsed also had non-structural

walls comprised heavy bricks, or they had “soft stories” in which their ground floors consisted of garages or similar open spaces.

Such construction increases the risk of pancaking, they said. “Soft stories are a huge problem everywhere in the world,” said Eduardo Miranda, a professor of civil and environmental engineering at Stanford University. “And in Venezuela, they are particularly prevalent, and if you combine softer soils with a soft story, buildings can collapse.”

Marcos Ferreira, a geophysicist at the Geological Survey of Brazil, said the destruction in Venezuela was compounded by the back-to-back quakes, known as a doublet. A similar incident took place in Turkey and Syria in 2023, killing almost 60,000 people.

NEWER BUILDINGS ALSO COLLAPSED: Venezuelan government took steps following a deadly 1967 quake to update building codes. But it is unclear

how many buildings were retrofitted. In late 1999, former President Hugo Chávez's first year in office, floods and landslides destroyed housing, including in coastal northern Venezuela. The government went on a building spree to replace the demolished structures and house displaced people, said Juan Carlos Vielma, a Venezuelan civil engineer who is head of academic affairs of civil engineering school at Pontifical Catholic University of Valparaíso, Chile.

Some of the newer buildings appear to also have collapsed. “Something that leaves me perplexed is the fact that, among the collapsed buildings, more than one was recently designed and built in accordance with current standards,” Vielma said. “We need to embark on a process not only of reconstruction, but also of reviewing the applicable standards, since something might have gone wrong within our engineering processes, too.” AP

• RULES BAR DUMPING INTO RIVERS REACTOR WATER THAT'S TOO HOT AS CONCERN OVER TRACK EXPANSION CANCELS TRAINS; EUROPEAN ENVIRONMENT AGENCY FLAGS 'INSUFFICIENT LONG-TERM FUND' FOR ADAPTATION PLANS

In sizzling Europe, trains, nuclear plants and factories cannot take the heat either

Chico Harlan
Rome, June 27

THIS SWELTERING week, the signs of a breakdown have been everywhere.

Train networks across Western Europe were snarled by heat that threatened to buckle tracks. Several nuclear reactors in France shuttered or slowed because the cooling water they were discharging into rivers was getting too hot. Museums curtailed hours because they couldn't control the heat.

At a French auto plant, union leaders called for a strike, saying conditions on factory floor had

become excruciating. And electricity outages knocked out power for hundreds of thousands in France and Italy.

The heat seeped through thick-walled apartments and turned cities into hotboxes that couldn't cool at night. Sleep-deprived Europeans staggered into parks after midnight, or joined in frenzies to buy portable ACs, or even sought refuge in hotels.

“Everyone is asking, Why are we not ready?” said Francois Gemenne, a prof and specialist in environmental politics at HEC Paris, a business school. “We are becoming aware of our own vulnerability.”

The heatwave has toppled temperature records in Britain, Spain and France. It's also hastened a realization Europe isn't prepared for what is coming as heatwaves intensify because of rising greenhouse gas emissions. The world's fastest-warming continent is filled with buildings and infrastructure designed for a climate that no longer exists.

A recent report from Allianz, the German financial and insurance company, singled out Italy, France, Germany and Spain as among the “most exposed economies” to economic losses from heat.

The insufficient infrastruc-



People at the beach on the island of Rügen, Germany, Saturday. AP

ture has deadly consequences.

On Thursday, France put its health system on the highest alert level, as its health minister,

Stéphanie Rist, described a four-fold rise in cardiac arrest cases. In Spain, statistics showed a bump in mortality.

While these are just early signals of a potentially larger toll, they match research showing the risks for Europe. A 2023 study compared 800 cities, looking at the rate at which mortality can curve upward as temperatures rise. While heat barely increases the risk of death in cities like Houston or Tokyo, it leads to drastic upward spikes in the cities of France, Spain and Italy.

Reduced access to ACs contributes to these differences. But that is far from the only factor. In Northern Europe, buildings that may have been built decades or even centuries ago tend to use insulating materials and end up

trapping warm air. They rarely have external shutters. “They are not well prepared to cope with this level of heat,” said Anna Mavrogianni, an expert at University College London.

Policymakers for years have talked about retrofitting buildings and improving other infrastructure for an era of rising temperatures. France last year released a 388-page adaptation plan with 52 measures. And London this week rolled out a city heat plan that calls for widespread home renovations and upgrades to public buildings, citing more than 1,300 schools, 60 hospitals and 351 care homes at high risk.

The European Environment Agency said last year all EU countries have adaptation plans, but cited “insufficient long-term funding” as a common obstacle.

In France, the heat reached such a level it forced stoppages or slowdowns this week of reactors at four French nuclear power stations, said EDF, which operates France's nuclear plants. In normal times, plants keep their reactors safely cool with river water, and then discharge that water at a higher temperature. But regulations designed to protect the river ecosystem prohibit that discharge if temperatures get too hot. NYT

EFFORTS TO SECURE CONCESSION FOR SMALL INDUSTRIES WITH DEVELOPED COUNTRIES DIDN'T WORK

EU carbon tax: Govt to shoulder 90% compliance bill of MSMEs

The impact is likely to be felt the most by the iron and steel sector, where extent of decline in EU imports could be 24%

Ravi Dutta Mishra
New Delhi, June 27

THE CENTRE is working on a scheme to absorb 90% of the compliance cost borne by micro, small, and medium enterprises (MSMEs) to help soften the disproportionate impact of the Carbon Border Adjustment Mechanism (CBAM) compliance burden imposed by the European Union, *The Indian Express* has learnt.

India's efforts to secure a concession for its small industries in negotiations with developed countries have not worked, and the industry has been seeking assistance to meet the steep annual compliance costs due to the imposition of the EU's carbon tax since January 1, 2026.

The UK too has plans to impose its version of CBAM from 2027. CBAM is an EU policy designed to put a price on the carbon emitted during the production of carbon-intensive goods that are entering the EU.

Complying with the regulation is seen as a major global challenge, as declarants must track the embedded emissions of their goods, including direct emissions and, for certain sectors such as cement and fertilisers, indirect emissions. Industry sources said that the compliance cost for each

MSME unit to meet the requirement under carbon tax alone is Rs 15 lakh to 20 lakh and that they do not have the wherewithal to report the number of data points sought under the regulation by the EU.

India is the world's second-largest producer of both crude steel and primary aluminium.

Steeper challenge for MSMEs

An Indian exporter is required to submit CBAM certificates that correspond to the total embedded emissions. The regulation becomes a major challenge for MSMEs as the EU says that if exporters are unable to provide actual data, importers must use "default values" provided by the European Commission. The default values for CBAM goods have to be increased by a proportionately designed percentage 'mark-up' in their value.

"These mark-ups are 10% in 2026, 20% in 2027, and 30% from 2028 onwards. Default values, including mark-up, have been determined to ensure that embedded emissions are not underestimated when applying default values," the regulation said.

"For MSMEs, the principal challenge under CBAM is not necessarily the carbon levy



The UK too has plans to impose its version of CBAM from 2027. REUTERS

itself, but the cost of compliance. Unlike large corporations, MSMEs often lack the technical expertise, systems and financial resources to measure, verify and report embedded emissions in accordance with CBAM requirements. They may have to incur significant upfront expenditure on carbon accounting, third-party verification, digital reporting systems and capacity building," Ayush A Mehrotra, Partner, Khaitan & Co said.

"These are largely fixed compliance costs, which means they do not reduce in proportion to the size of the business or export volumes.

"As a result, MSMEs bear a disproportionately higher compliance burden than larger

exporters, potentially eroding their price competitiveness in the EU market. If these costs are not addressed through targeted policy support, smaller exporters may find continued access to the EU market commercially unviable despite having competitive products," Mehrotra said.

CBAM impact on India

Imports from India would decline for all CBAM commodities, and the impact of the CBAM is likely to be felt the most by the iron and steel (I&S) sector, where the extent of the decline in imports by the EU could be about 24%, and the Indian Council for Research on International Economic Rela-

• TAXING CARBON

CARBON BORDER Adjustment Mechanism is an EU policy designed to put a price on the carbon emitted during the production of carbon-intensive goods that are entering the block

COMPLYING WITH the regulation is seen as a major global challenge, as declarants must track the embedded emissions of their goods, including direct emissions and, for certain sectors such as cement and fertilisers, indirect emissions.

COMPLIANCE COST for each MSME unit to meet the requirement under carbon tax is Rs 15 lakh-20 lakh.

tions (ICRIER) working paper released this month. The fertilisers and aluminium products, followed by metal products, are next in line. India's global export of I&S will decline by 5.7%; for China, the corresponding estimate is 1.2%.

This reduction is primarily due to a reduction in exports to the European Union.

The report said that CBAM shall adversely impact India's trade with the EU and will have a negligible effect on carbon emissions, adding that the impact level on carbon emissions is hard to determine and depends on the type of inputs used to produce the finished goods in the sector.

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